

insist on disclosure of information, about which the speculative public couldn't care less, or announce investigations and usually mild punitive actions of various sorts after the letter of the law has been clearly broken.) When many of these minuscule but grossly inflated enterprises disappear from view, or nearly so, it is all taken philosophically enough as "part of the game." Everybody swears off such inexcusable extravagances—until next time.

Thanks for the lecture, says the gentle reader. But what about your "bargain issues"? Can one really make money in them without taking a serious risk? Yes indeed, *if* you can find enough of them to make a diversified group, and *if* you don't lose patience if they fail to advance soon after you buy them. Sometimes the patience needed may appear quite considerable. In our previous edition we hazarded a single example (p. 188) which was current as we wrote. It was Burton-Dixie Corp., with stock selling at 20, against net-current-asset value of 30, and book value of about 50. A profit on that purchase would not have been immediate. But in August 1967 all the shareholders were offered 53 3/4 for their shares, probably at just about book value. A patient holder, who had bought the shares in March 1964 at 20 would have had a profit of 165% in 3½ years—a noncompounded annual return of 47%. Most of the bargain issues in our experience have not taken that long to show good profits—nor have they shown so high a rate. For a somewhat similar situation, current as we write, see our discussion of National Presto Industries above, p. 168.

### **Special Situations or "Workouts"**

Let us touch briefly on this area, since it is theoretically includable in the program of operations of an enterprising investor. It was commented upon above. Here we shall supply some examples of the genre, and some further remarks on what it appears to offer an open-minded and alert investor.

Three such situations, among others, were current early in 1971, and they may be summarized as follows:

SITUATION 1. Acquisition of Kayser-Roth by Borden's. In January 1971 Borden Inc. announced a plan to acquire control of Kayser-Roth ("diversified apparel") by giving 1 1/3 shares of its own stock in exchange for one share of Kayser-Roth. On the following day, in active trading.